DR. BABASAHEB AMBEDKAR TECHNOLOGICAL UNIVERSITY, LONERE

Bachelor of Technology (Computer Science and Engineering) SEMESTER - 5 Winter 2025 (Regular)

Course :Bachelor of Technology (Computer Science and Engineering) Branch : Engineering and Technology

Semester : SEMESTER - 5

Subject Code & Name: BTHM505A - ECONOMICS & MANAGEMENT

Time : 3 Hours] **[Total Marks : 60**

Instructions to the Students:

1.Each question carries 12 marks.

2.Question No. 1 will be compulsory and include objective-type questions.

3.Candidates are required to attempt any four questions from Question No. 2 to Question No.6

4.Use of non-programmable scientific calculators is allowed.

5.Assume suitable data wherever necessary and mention it clearly.

Q1. Objective type questions. (Compulsory Question) 12

1 A product layout is most appropriate when production is:
a) Intermittent b) Custom-based
c) Continuous and standardized d) Project-based

2 The process of determining present value of future cash flows is called _____.
a) Compounding b) Amortization c) Discounting d) Capitalization

3 Motivation, supervision, and communication are elements of:
a) Planning b) Organizing c) Controlling d) Directing

4 Under the double-entry system, every transaction affects at least _____ accounts.
a) Two b) Three c) Four d) One

5 Capacity utilization is calculated as Actual Output ÷ _____ × 100.
a) Break-even output b) Maximum design capacity
c) Variable cost d) Standard time

6 Which statement shows cash inflows and outflows of a firm?
a) Income statement b) Balance sheet
c) Fund flow statement d) Cash flow statement

7 Which of the following is a relevant cost for decision making?
a) Historical purchase price b) Sunk cost
c) Future incremental cost d) Book value of asset

8 The elasticity of demand is said to be unitary when elasticity equals _____.
a) 0 b) 1 c) Greater than 1 d) Less than 1

9 Depreciation represents allocation of asset cost over its useful life.
a) True b) False

10 Job costing is most suitable for:
a) Continuous production b) Homogeneous products
c) Mass production d) Customized orders

11 In Activity-Based Costing, overheads are primarily assigned using:
a) Direct labor hours b) Machine hours only
c) Cost drivers d) Units produced

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12 The depreciation method that allocates equal expense each year is:
a) Diminishing balance method b) Units of production method
c) Straight-line method d) Annuity method

Q2. Solve the following.

A) Define contribution margin and break-even point. State the meaning of the cost management system. A firm has fixed costs of ₹50,000, a selling price of ₹200, and a variable cost of ₹120. Compute the break-even units. 6

B) Explain the importance of forecasting in managerial decision-making. 6

Q3. Solve the following.

A) Define master budget and flexible budget. Discuss the importance of budgeting in organizations. 6

B) Describe the flow of costs in process costing. 6

Q4. Solve Any Two of the following.

A) List the components of financial statements. Explain the purpose of financial statement analysis. 6

B) Define present value and future value. Describe the concept of the time value of money. 6

C) State liquidity and profitability ratios. Explain the significance of ratio analysis. 6

Q5. Solve Any Two of the following.

A) Define depreciation and its causes. Explain why depreciation is charged on assets. 6

B) List elements of directing. Explain leadership and motivation in directing. 6

C) Compare classical and modern management theories with respect to any SIX points. 6

Q6. Solve Any Two of the following.

A) Define product development. Explain the stages of product development. 6

B) Define capacity planning. Describe the relationship between forecasting and capacity planning. 6

C) List types of plant layouts. Explain the objectives of plant layout. 6

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